TEXORA · LECTURE SHEET

Law for Textile and Apparel Industry

The legal ground a textile manager stands on in Bangladesh: the Bangladesh Labour Act 2006 in outline, factory and export-processing-zone context, buyers' compliance codes, and environmental duties for dyeing and effluent — presented at textbook level, in words, for working understanding.

TE-3109 · SUPPLY CHAIN MANAGEMENT IN TEXTILES · TOPIC 9 · LEVEL 3 TERM 1

1. Why a textile manager needs law

A factory is a legal environment before it is a technical one. Employment contracts, working hours, wages, safety duties, trade-union rights, factory licensing, customs and export rules, buyer codes and environmental permits all carry legal force, and failure in any of them can stop production, cancel orders or close a factory — however good its machines are. This sheet gives the **textbook-level outline** a manager needs: what the main rules require in general terms, where they come from, and how compliance is organised. It is not legal advice, and it deliberately describes provisions in words rather than citing numbered sections: for any live dispute or filing, the factory must consult the current official text and qualified legal counsel, because Acts are amended and rules are updated.

Three layers of obligation overlap in an export garment or textile factory. First, **national law** — principally the Bangladesh Labour Act 2006 and the rules made under it, together with factory, environmental, customs and company law. Second, **zone and licence conditions** — factories in export processing zones (EPZs) work under the zone authority's framework in addition to national requirements. Third, **private regulation** — buyers' codes of conduct and international standards, enforced not by courts but by audits and the commercial sanction of lost orders. A compliant factory satisfies all three layers at once.

2. The Bangladesh Labour Act 2006 — scope and employment basics

The **Bangladesh Labour Act 2006** is the principal statute governing employment in factories and other establishments in Bangladesh. It consolidated and replaced a large body of earlier labour legislation and has been amended since its enactment; factories work to the Act as amended and to the Labour Rules framed under it. In general terms it covers: classification of workers and terms of appointment; conditions of service and disciplinary procedure; working hours and leave; wages and their payment; employment of young persons; health, safety and welfare; compensation for workplace injury; trade

unions and industrial relations; and inspection and enforcement by the government labour administration, notably the Department of Inspection for Factories and Establishments (DIFE) and the Department of Labour.

On **appointment and service**, the general framework requires that workers be engaged with a proper appointment and identity documentation, that service records be maintained, and that termination, resignation, retirement and disciplinary action follow the procedures and notice requirements the law prescribes, with misconduct handled through a fair inquiry process. Managers should understand the principle rather than memorise detail: employment decisions must follow the documented procedure, because procedurally unfair action can be overturned even where the underlying complaint was genuine.

3. Working hours, leave and wages

Working hours. In general terms the Act sets a standard working week for adult factory workers, limits daily hours, requires a weekly holiday and rest intervals during the day, and permits overtime work beyond standard hours at a premium rate — overtime being paid at twice the basic rate under the Bangladeshi framework. Night work and the employment of women involve additional safeguards and consent-related provisions. The managerial point is practical: production planning, line balancing and delivery promises must be built inside the lawful hours framework, with overtime treated as a regulated exception, not an unlimited planning variable. Excessive-hours findings are also among the most common buyer-audit failures.

Leave. The framework provides, in general terms, for several categories: annual (earned) leave accumulating with days worked, casual leave, sick leave supported by medical evidence, festival holidays, and maternity benefit and leave for eligible women workers, together with protections against dismissal connected with maternity. Exact entitlements depend on the category of worker and length of service and must be checked in the current text; the factory's duty is to maintain accurate leave records, display the holiday list, and ensure leave can actually be taken — paper entitlements that production pressure makes unusable are a recognised compliance failure.

Wages. Wages must be paid regularly within the period the law prescribes after the wage period ends, through traceable means, with lawful deductions only. Minimum wages for the garment and textile sectors are fixed through the statutory **Minimum Wages Board** process and announced by government notification for grades of workers; factories must pay at or above the notified minimum for the worker's grade, maintain wage records and provide pay information workers can understand. For a merchandiser, the connection is direct: the labour cost in every costing rests on the current notified wage structure, and an out-of-date wage assumption produces an unprofitable — or non-compliant — quotation.

4. Young workers, safety and welfare

Child labour prohibition. The law prohibits the employment of children below the minimum working age in factories, and places strict restrictions on the employment of adolescents, including prohibitions on hazardous work and night work for young workers. In textile and apparel this duty is operational: reliable age verification at recruitment (using national identity and education records), no young workers on hazardous processes such as dyeing chemical handling, boiler operation or cutting with power blades beyond what the law permits, and careful control of subcontractors and homework arrangements where age control is weaker. International buyers treat any child-labour finding as among the gravest audit outcomes.

Health and safety. The Act's safety provisions require, in general terms: safe buildings and workplaces, machine guarding, safe access and egress, fire safety measures including exits, alarms and drills, control of dust, noise and hazardous substances, personal protective equipment where the process requires it, first-aid provision, and accident reporting and investigation. After the industry disasters of the past decade, building and fire safety in Bangladesh is additionally overseen through national and buyer-supported inspection initiatives, and remediation of structural, electrical and fire findings is a continuing factory obligation. **Welfare** provisions cover, in general terms, washing and sanitation facilities, drinking water, rest and canteen facilities above workforce thresholds, childcare facilities where the law requires them, and welfare officers in larger establishments.

AREA	FACTORY OBLIGATION (GENERAL TERMS)	TYPICAL EVIDENCE KEPT
Appointment and records	Proper appointment, identity and service records; lawful procedure for discipline and separation	Personnel files, appointment letters, registers
Hours and overtime	Work within standard hours; weekly holiday and rest intervals; overtime voluntary in practice, recorded and paid at the premium rate	Time records, overtime registers, pay slips
Leave	Grant annual, casual, sick, festival and maternity leave and benefit as applicable; keep records	Leave registers, holiday list, medical papers
Wages	Pay at or above notified minimum by grade, on time, with lawful deductions only	Wage sheets, grade lists, payment records
Young workers	No employment below the minimum age; restricted, non-hazardous work only for adolescents	Age-verification documents, worker age register

Safety	Guarded machines, clear exits, fire equipment and drills, PPE, accident reporting	Safety committee minutes, drill logs, PPE issue records
Welfare	Sanitation, drinking water, rest/canteen and childcare facilities as required	Facility checklists, welfare officer reports
Voice and representation	Respect freedom of association; work with unions / participation committees through lawful channels	Union or committee records, meeting minutes
Environment (wet processing)	Hold environmental clearance; run and maintain ETP; meet discharge conditions	Clearance certificate, ETP logs, test reports

5. Trade unions and industrial relations

In general terms the labour framework recognises workers' **freedom of association**: workers may form and join trade unions subject to the registration requirements of the law, unions may act as collective bargaining agents where they meet the prescribed conditions, and unfair labour practices by either side are prohibited. In establishments without a union, worker **participation committees** provide a channel for consultation on welfare, safety and workplace matters. Industrial disputes follow a graduated path — negotiation, conciliation through government conciliators, and adjudication through labour courts — with strike and lockout action regulated by notice and procedure requirements. For the supply chain manager the significance is continuity: lawful, well-documented industrial relations are a form of lead-time protection, and buyers examine freedom-of-association findings closely in audits.

6. Factories, EPZs and buyers' compliance codes

Factories operate under factory licensing and inspection arrangements, trade licences, fire licences and related registrations, renewed on their cycles; exporters additionally work within customs bonded-warehouse arrangements for duty-free imported inputs against export obligations, administered through the customs authority and industry associations' utilisation declarations. Factories located in **export processing zones** administered by the Bangladesh Export Processing Zones Authority (BEPZA) work under the zone framework for investment, employment and operations, which has its own labour provisions for zone workers alongside national standards. The manager's rule is simple: know which regime governs your site, and keep every licence current — an expired licence can halt shipments as surely as a broken machine.

Above national law sit **buyers' codes of conduct**. Major brands and retailers require supplier factories to meet standards on child labour, forced labour, discrimination, wages, hours, safety (often aligned with international labour conventions) and environment, verified by announced and unannounced

social-compliance audits, with corrective action plans and re-audits. Certification and initiative schemes the industry commonly meets include WRAP, BSCI (amfori), SEDEX/SMETA audits, Higg Index assessments for environmental performance, OEKO-TEX for product chemical safety, and GOTS or GRS where organic or recycled claims are made. None of these replaces the law; each is a contract condition. The commercial reality is that audit failure costs orders immediately, long before any court is involved, so compliance functions in an export factory report at senior level.

7. Environmental law for dyeing and finishing

Wet processing is the industry's most regulated activity environmentally. Under Bangladesh's environmental framework, administered by the **Department of Environment (DoE)**, a dyeing or washing factory must obtain **environmental clearance** appropriate to its category before establishment and operation, and renew it as required. In general terms, clearance conditions require an **effluent treatment plant (ETP)** sized for the factory's discharge, operation and maintenance of that plant whenever production runs, discharge only within the prescribed quality standards for parameters such as pH, BOD, COD, TSS and colour, proper sludge handling and disposal, and periodic testing and reporting. Air emissions from boilers and generators, chemical storage and hazardous-waste handling carry parallel conditions. Buyers add their own chemical-management requirements — restricted-substances lists and wastewater guidelines such as the ZDHC programme — so a dye-house manager answers to both the DoE and the buyer's chemical standard for the same drain. The textbook conclusion is that environmental compliance is a designed-in production system (ETP capacity matched to dyeing capacity, trained operators, logged operation), not a certificate bought at licensing time.

8. Contracts in the textile supply chain

Finally, ordinary commercial law governs the supply chain's documents: the **contract** formed by a buyer's purchase order and the factory's acceptance, proforma invoices, letters of credit (L/C) under which most exports are paid, back-to-back L/Cs for fabric purchase, and shipping and insurance documents. The manager-level lessons are three: the L/C's terms — shipment date, documents required, tolerances — are the contract that the bank will actually enforce, so discrepancies must be avoided by checking documents meticulously; quality and delivery claims are settled against the agreed specification and inspection regime, so specifications belong in writing before production; and force-majeure and delay clauses decide who bears the cost when ports close or shipments slip, so they deserve reading before signature, not after the event.

Glossary

Bangladesh Labour Act 2006 — the principal statute on employment, hours, wages, safety and industrial relations. **DIFE** — Department of Inspection for Factories and Establishments, the factory inspectorate. **Minimum Wages Board** — the statutory body through which sector minimum wages are recommended and notified. **EPZ / BEPZA** — export processing zone and its administering authority. **Social-compliance audit** — a buyer's inspection of labour, safety and environmental standards, with corrective action plans. **Environmental clearance** — Department of Environment permission to establish and operate, with conditions. **ETP** — effluent treatment plant for process wastewater. **Freedom of association** — workers' right to form and join unions. **Participation committee** — elected worker–management consultation body where applicable. **Letter of credit** — bank undertaking to pay against conforming shipping documents.

Key points

• A textile factory answers to three layers at once: national law (principally the Labour Act 2006, as amended), zone and licence conditions, and buyers' codes enforced by audit.
• In general terms the Labour Act regulates appointment and discipline by due procedure, standard hours with premium-paid overtime and a weekly holiday, graded leave including maternity provision, timely wages at or above the notified minimum, and full safety and welfare duties.
• Employment of children below the minimum age is prohibited, and adolescents are barred from hazardous work — age verification at recruitment is the control point.
• Workers enjoy freedom of association in general terms; disputes move through negotiation, conciliation and labour courts.
• Dyeing and washing require environmental clearance and a properly run ETP meeting discharge conditions — compliance is an operating system, not a one-time certificate.
• This sheet is a textbook outline in words; live matters always require the current official text and qualified legal advice.

Practice

1. A production manager proposes meeting a shipment date by scheduling three consecutive weeks without weekly holidays and paying normal rates for the extra hours. Identify the compliance problems in this plan, in general terms.
2. List the three layers of obligation on an export garment factory and give one example of a sanction from each layer.
3. A dyeing factory's ETP runs only when an inspection is expected. Explain why this fails both the legal framework and buyer requirements, and what a compliant system looks like instead.

4. Why does age verification at recruitment matter more than age checks during an audit? Connect your answer to hazardous work in a textile factory.
5. An auditor finds correct wage rates but wages paid three weeks late, and leave granted on paper that workers say they cannot take. Are these compliance failures? Explain.
6. Write a short note distinguishing a trade union, a participation committee and a social-compliance audit in terms of who creates each and what each can do.

Answer key

1. Two problems in general terms: removing the weekly holiday breaches the hours-and-leave framework, which treats the weekly holiday as an entitlement, not a tradable extra; and paying extra hours at normal rates breaches the overtime premium requirement — overtime beyond standard hours is payable at the premium (double basic) rate. The lawful route is planned overtime within the framework, added capacity, or renegotiating the shipment date.
2. National law — for example prosecution, fines or closure directions by the inspectorate for safety or child-labour breaches. Zone/licence conditions — for example suspension or non-renewal of factory, fire or zone permissions, stopping legal operation or shipment. Buyer codes — for example a failed audit leading to corrective action, suspended new orders or delisting, which is often the fastest and costliest sanction in practice.
3. Legally, clearance conditions require effluent to be treated and discharged within standards whenever production runs; intermittent operation means untreated discharge, exposing the factory to enforcement, fines and clearance action. Buyers' wastewater and chemical requirements impose the same continuous duty, verified by testing and audit. A compliant system sizes the ETP to dyeing capacity, staffs and logs it for every production shift, tests discharge periodically, handles sludge properly and treats ETP downtime as production downtime.
4. Recruitment is the only point at which an under-age worker can be kept out of the factory entirely; an audit check discovers the breach after the child has already worked, when the finding, remediation cost and reputational damage are at their maximum. Hazardous processes common in textiles — chemical handling in dyeing, boilers, power cutting — are precisely the work young workers must be kept from, so a weak gate at hiring creates both a legal breach and a safety risk at once.
5. Yes, both. Wage law concerns amount *and* timing — payment must be made within the prescribed period, so correct rates paid late still breach the framework and harm workers who live wage-to-wage. Leave that exists only in registers is the same class of failure: entitlements must be actually usable, and auditors test records against worker interviews for exactly this reason.
6. A trade union is created by workers themselves, registered under the labour framework, and can bargain collectively and represent workers formally. A participation committee is a workplace

consultation body with worker and management representation, concerned with welfare, safety and communication; it consults rather than bargains. A social-compliance audit is created by the buyer's commercial requirement: auditors inspect against the buyer's code and issue findings and corrective plans, enforced by the threat of lost orders rather than by law.

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